I sell fresh bread. Daily demand is 100 loaves. Orders take 1 day to arrive, and I sell for 30 days. Unsold bread spoils after 1 day. Unsatisfied demand is lost.

Thank you for providing those details. Let me map your inputs to the inventory model parameters and identify any missing information. Here's what I have so far:
Current Inventory Parameters:

a. Time horizon: 30 days (explicitly stated)
b. Demand: Deterministic (implied by fixed daily demand of 100 loaves)
c. Perishability: Yes, spoils after 1 day
d. State transition: Lost-sale (explicitly stated: "Unsatisfied demand is lost")
e. Cost parameters: Not yet provided (missing)
f. Lead time (L): 1 day (explicitly stated: "Orders take 1 day to arrive")

Missing Information Required to Complete the Model:
1) Cost structure:

- Holding cost per loaf (cost to store unsold bread for one day)
- Shortage/lost-sale penalty cost (cost of unsatisfied demand)
- Ordering/setup cost (fixed cost per order placed)
- Purchase cost per loaf (if relevant to your model)

Could you please provide these cost parameters? Once we have these, we'll have a complete inventory model specification.

The holding cost is 0.5 per loaf per day. The lost−sale penalty cost is 5 per loaf. The setup cost is $10 per order. There is no purchase cost per loaf.

I sell fresh bread. Daily demand is 100 loaves. Orders take 1 day to arrive, and I sell for 30 days. Unsold bread spoils after 1 day. Unsatisfied demand is lost.

Base

Parameters:
Holding cost: $1.50 per loaf per day
Lost-sale penalty: $8 per loaf
Purchase cost: $2.50 per loaf
Ordering cost: $100 per order

Epoch 1

holding cost: 0.5 dollar per loaf per day, lost-sale penalty cost: 1 dollar per unit, ordering cost: 20 dollar per order

Epoch 2

The lost-sale penalty cost is 5 per loaf. The setup cost is $10 per order. There is no purchase cost.

Epoch 3